

markets. The bear market velocity is almost twice as fast as in bull markets. It might be because of the lack of a posted speed limit.

**How many change trend?** I counted how many big Ws saw price rise more than 20% after the breakout, and I must say, the bull market posts a terrific number (ranking sixth and eighth for bull and bear markets, respectively).

Big Ms in bear markets show good performance, too, but not as good as in bull markets. That's expected, of course (a rising tide lifts all boats in bull markets, but bear markets depress performance after upward breakouts).

[\*\*Table 7.3\*\*](#) shows cumulative failure rates for big Ws. The breakeven failure rate is 9%. That means 9% of the big Ws fail to see price rise more than 5% after the breakout.

Look at how the failure rates climb. In bull markets, 20% fail to see price rise more than 10%.

[\*\*Table 7.3\*\*](#) Cumulative Failure Rates

| <b>Maximum Price Rise (%)</b> | <b>Bull Market</b> | <b>Bear Market</b> |
|-------------------------------|--------------------|--------------------|
| 5 (breakeven)                 | 201 or 9%          | 48 or 9%           |
| 10                            | 229 or 20%         | 85 or 26%          |
| 15                            | 206 or 29%         | 82 or 42%          |
| 20                            | 185 or 38%         | 57 or 53%          |
| 25                            | 177 or 46%         | 45 or 62%          |
| 30                            | 141 or 52%         | 36 or 69%          |
| 35                            | 144 or 59%         | 32 or 75%          |
| 50                            | 296 or 73%         | 45 or 84%          |
| 75                            | 248 or 84%         | 44 or 92%          |
| Over 75                       | 346 or 100%        | 40 or 100%         |